RISK

Risk at a glance

Risk team [authors]

1-day VaR 99	1-day ES 99	Ex-ante volatility	Beta to MSCI World
1.51%	**1.76%**	**11.8%**	**0.32**
▲ +0.21pp vs 31 Oct	▼ -0.30pp vs 31 Oct	▲ +0.9pp vs 31 Oct	▲ +0.03 vs 31 Oct

Gross exposure	Net exposure	Largest position	Drawdown from peak
227.8%	**+17.7%**	**9.0%**	**-2.4%**
▲ +6.1pp vs 31 Oct	▼ -4.2pp vs 31 Oct	– unchanged vs 31 Oct · IND4 XX	▲ +0.7pp vs 31 Oct · max -5.9%

% of NAV unless stated; NAV £3.00m. Arrows: change since previous report; red = more risk, green = less.

Gross is back above its limit as TMT shorts grow; risk is concentrated in TMT

Gross rose 6pp to 228%, above the 200% limit, as TMT and Materials added shorts; net fell to 18%.

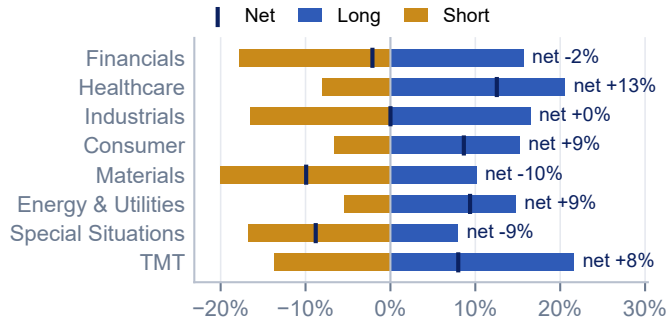
TMT holds 16% of gross but 25% of volatility: its two largest longs, both AI-capex names, top the VaR contributors and trade almost as one.

What we are watching:

- Gross breach: TMT and Materials PMs to reduce or justify.
- TMT earnings w/c 8 December.
- Momentum reversal if rate-cut expectations shift.

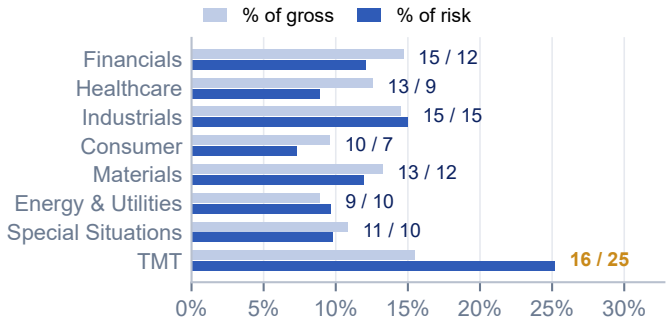
Exposure by team

Long and short, % of fund NAV; tick = net



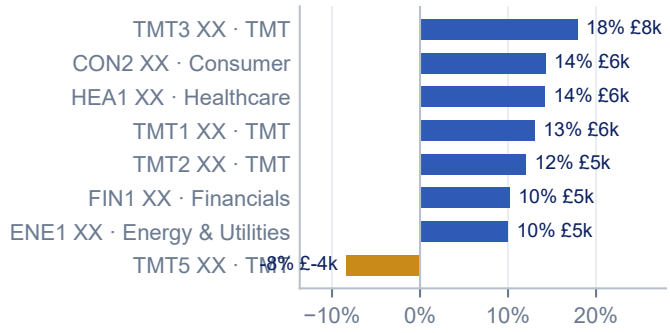
Risk by team

Share of gross vs share of ex-ante volatility (amber: risk well above capital)



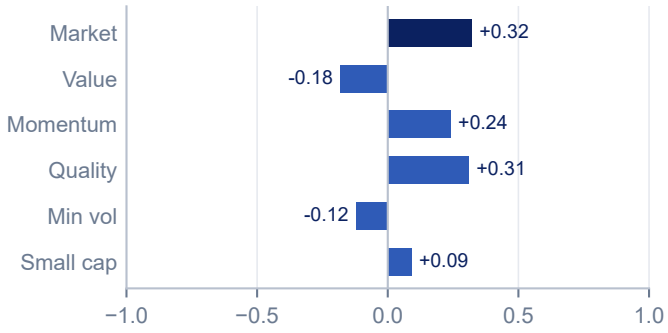
Top contributors to VaR

Top 8 positions, share of 1-day VaR99 (amber: reduces VaR)



Factor exposures

Fund betas to MSCI World and factor spreads, 2y weekly · R² 64%



Mandate checks

Limit	Actual	Limit	Status
Gross % NAV	227.8	≤ 200	▲ Breach
Net % NAV	17.7	-20 to 80	✓ OK
Largest position % NAV	9.0	≤ 10	✓ OK
1-day VaR99 % NAV	1.5	≤ 3	✓ OK

Sensitivity tests

Sensitivity	% NAV	£	
MSCI World −10%	-3.2%	−£96k	via beta
UK 10y +100bp	-2.1%	−£63k	2y regression
US 10y +100bp	-1.4%	−£42k	2y regression
Worst day, today's book	-2.2%	−£66k	23 Nov 2026

Data: Bloomberg PORT and prices to 2026-11-30, GBP. VaR/ES: historical simulation, today's holdings over 1260 days; contributions scaled to sum to VaR. Ex-ante vol: 252-day covariance. Beta and factors: 104-week regressions. Team figures % of fund NAV. Only 42 days of fund history: drawdown is indicative. ILLUSTRATIVE DATA, NOT BIF HOLDINGS.